

Customer Behavior Analysis Report

1. Executive Summary

This report provides a comprehensive analysis of recent customer behavior data to identify purchasing patterns, evaluate customer satisfaction, and highlight potential churn risks.

Scope of Analysis:

- **Total Customers:** 450
- **Geographic Reach:** 6 Cities
- **Customer Segments:** 3 Membership Tiers (Gold, Silver, Bronze)

Overall Performance Averages:

- **Average Total Spend:** \$868 per customer
- **Average Items Purchased:** 12.8 items per customer

Critical Alert - Churn Risk: Currently, **47%** of the customer base is at risk of churning (defined as >30 days since their last purchase). This risk is primarily concentrated within the Bronze and Silver membership tiers.

2. Segment Summary by Membership Tier

The following table breaks down customer performance and satisfaction metrics across the three membership tiers:

Membership Tier	Average Spend	Average Items	Average Rating	Satisfaction Level	Churn Risk (Inactive Days)
Gold	\$1,302	18.8	4.7 ★	Satisfied	Low (9 - 25 days)
Silver	\$752	12.1	4.1 ★	Neutral	Medium (12 - 62 days)
Bronze	\$483	8.6	3.4 ★	Unsatisfied	High (18 - 49 days)

3. Key Insights and Strategic Observations

A. The "Gold" Standard Performance

Gold tier members represent the most valuable and stable segment of the customer base. On average, Gold members **spend 2.7x more** than Bronze members. Furthermore, satisfaction distribution indicates that Gold members are almost entirely satisfied with their experience, resulting in the lowest churn risk (averaging only 9 to 25 inactive days).

B. Churn Hotspot: Miami Silver Tier

Geographic and tier-based analysis reveals a significant trouble spot: Silver tier members located in **Miami**. Customers in this specific cohort are averaging **50+ inactive days**, making it the highest priority churn hotspot. Targeted re-engagement campaigns should be directed here immediately.

C. The Discount Fallacy

An analysis of discount usage versus satisfaction reveals a counterintuitive trend: users who heavily utilize discounts are **almost entirely categorized as "Unsatisfied."** This suggests that discounting strategies are currently acting as a band-aid, masking deeper root issues in the product or customer experience rather than genuinely improving customer satisfaction or loyalty.

4. Recommendations

1. **Investigate Miami Operations:** Conduct an immediate review of the customer experience for Silver members in Miami to identify the specific friction points causing high inactivity.
2. **Rethink Discount Strategy:** Shift focus away from heavy discounting for unhappy customers. Instead, channel resources into identifying and resolving the root causes of their dissatisfaction (e.g., product quality, shipping times, or customer service).
3. **Gold Retention:** Maintain the high standards provided to Gold members, as they are the primary drivers of revenue and boast the highest retention rates.